

PRICING ANALYST BUSINESS CASE · BUDGETAIR.US · 2022 ORDERS

The Aeroprize fee change: what it really cost us — and what to do next

Impact analysis of the October 2022 Aeroprize channel-fee change · 120,396 orders · every number reproducible

[Live dashboard · streamlit.app](#)

[Ask the data · Claude MCP server](#)

[Code & data · GitHub](#)

The 'cheaper' new contract would have cost us \$131,696 on 2022's orders

+\$131,696

Extra cost, full year — same orders priced under both fee schemes

58.5%

of Aeroprize orders pay more under the new terms

−58.5% vs −5.1%

cheap-fare volume after the change:
Aeroprize vs a channel with no fee change

≥ \$10.50

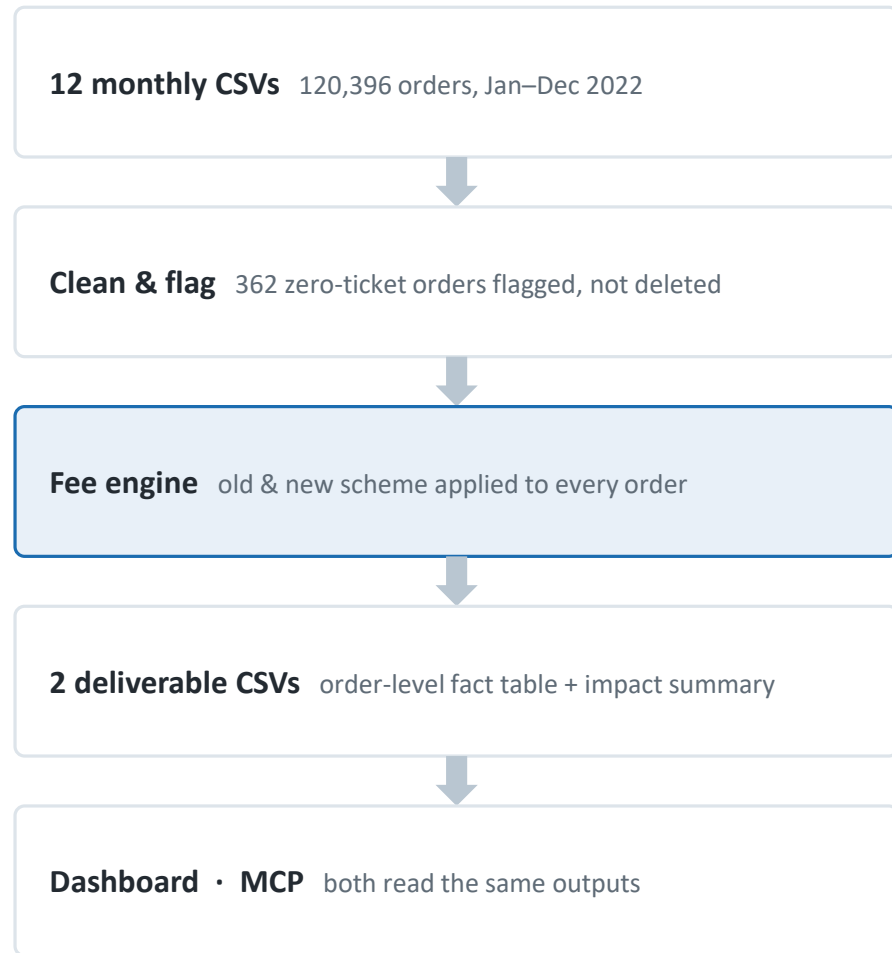
partner fee avoided per budget order won back on our own Direct site

The story in four sentences

- 1 The new contract looks cheaper — lower percentage, lower cap — but its brand-new \$10.50 minimum fee lands on 58.5% of the channel's orders: cheap tickets that were already barely profitable.
- 2 On the sales mix we actually had, it costs +\$131,696 a year. On the post-change mix it looks roughly neutral (−\$1,768) — only because the punished cheap-fare segment had already left.
- 3 Cheap fares collapsed in Aeroprize (−58.5%) while a comparable channel with no fee change barely moved (−5.1%). Most of that demand was not recaptured by our other channels — it likely went to competitors.
- 4 Our response: segment the channel — stop competing on sub-\$262 fares in Aeroprize, reinvest the savings on expensive fares, reclaim budget fares via Direct, and renegotiate tiered terms (details: slide 12).

From 12 monthly files to one auditable dataset

The compiling process behind the two deliverable CSV files — every step scripted, flagged, and reproducible.



Three data decisions, stated up front

Zero-value tickets. 362 orders (0.3%) have a \$0 ticket — a percentage fee is undefined on them. Flagged and excluded from fee maths, kept in the data for transparency.

Total ticket value. Defined as base fare + tax — the base the percentage, floor and cap apply to.

Margin. Treated as net of all costs including the actual fee paid. So the impact is measured as a counterfactual, not by comparing accounting lines.

Reproducible by design. One script (analysis.py) rebuilds both CSVs and prints a validation block; the dashboard and the AI interface recompute every number from those files. Automated QA: 47/47 checks against the deployed app.

Method: same orders under both price schemes, plus a no-change control channel

How we measure the cost

Apply both fee schemes to the same orders and compare. Because the orders are identical, the difference is purely the contract — seasonality, demand and mix are all held constant.

	Rate	Minimum	Maximum
Old (before 1 Oct)	4.0%	\$0	\$24.00
New (from 1 Oct)	3.8%	\$10.50	\$19.00

How we measure the behaviour

Volumes shift with seasons, so a before/after comparison alone would mislead. We compare Aeroprize against Google Flights — a comparable channel whose fee did not change.

Any drop in Aeroprize beyond the control channel's is attributable to the fee change, not the season.

Assumptions, stated and locked

- A1** Total ticket value = base fare + tax.
- A2** Fee applied per order — per-passenger shown as a sensitivity (appendix: it would be worse, +\$231k).
- A3** Fee formulas exactly as in the contract table above.
- A4** Margin is net of all costs, incl. the fee actually paid.
- A5** Fee terms are known only for Aeroprize — no fee is estimated for any other channel.

Below a \$262 ticket the new terms charge more — and 58.5% of our orders live there

The new fee only saves money above a \$262 ticket



Why \$262.50? It is the exact break-even where the new \$10.50 minimum equals the old 4% fee ($\$10.50 \div 4\%$). A \$100 ticket used to pay \$4.00; it now pays \$10.50. The savings only start above \$262 — where the lower rate and the \$19 cap beat the old terms — but expensive tickets are the minority of the channel.

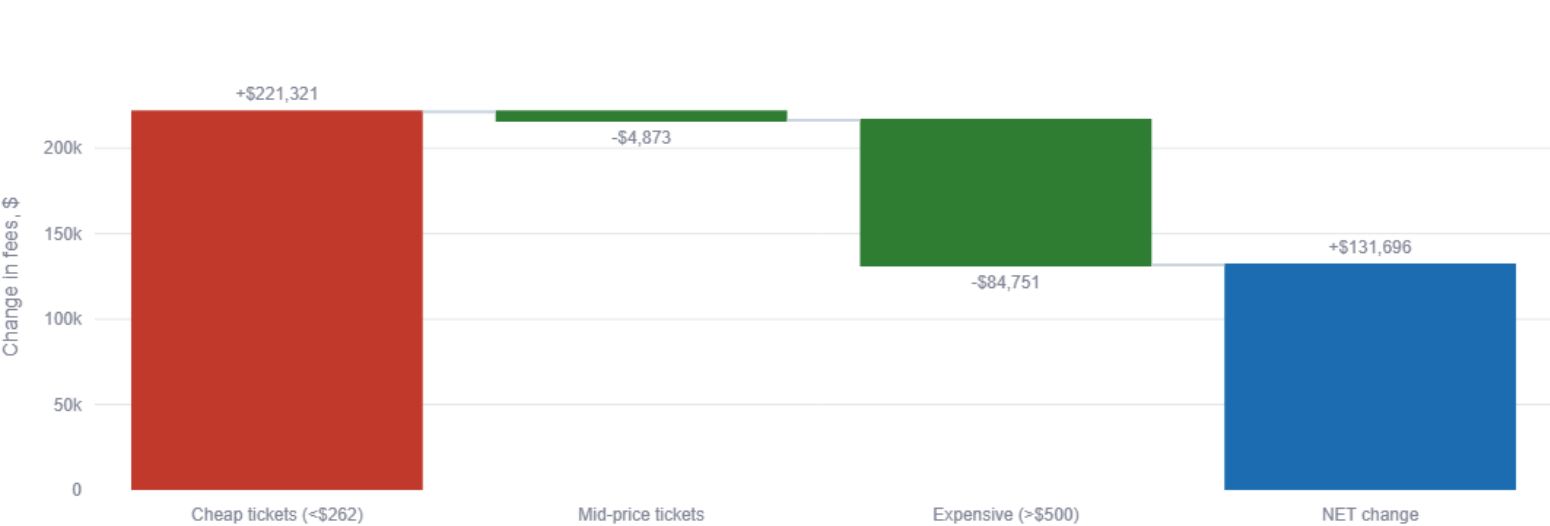
On the year we actually sold, the new fee costs +\$131,696 — a third of channel profit

+\$131,696
full-year extra cost (same orders, both schemes)

-\$1,768
on the after-change mix only (Oct–Dec) — roughly neutral

+31.8%
of the full-year margin earned on the channel

Cheap tickets drive the whole bill — +\$131,696 (full year)



Why it looks 'neutral' after October: the cheap tickets the fee punishes had already left the channel by then. Judging the contract on Oct–Dec alone would understate its true cost.

The extra cost was building every month — until the punished fares left

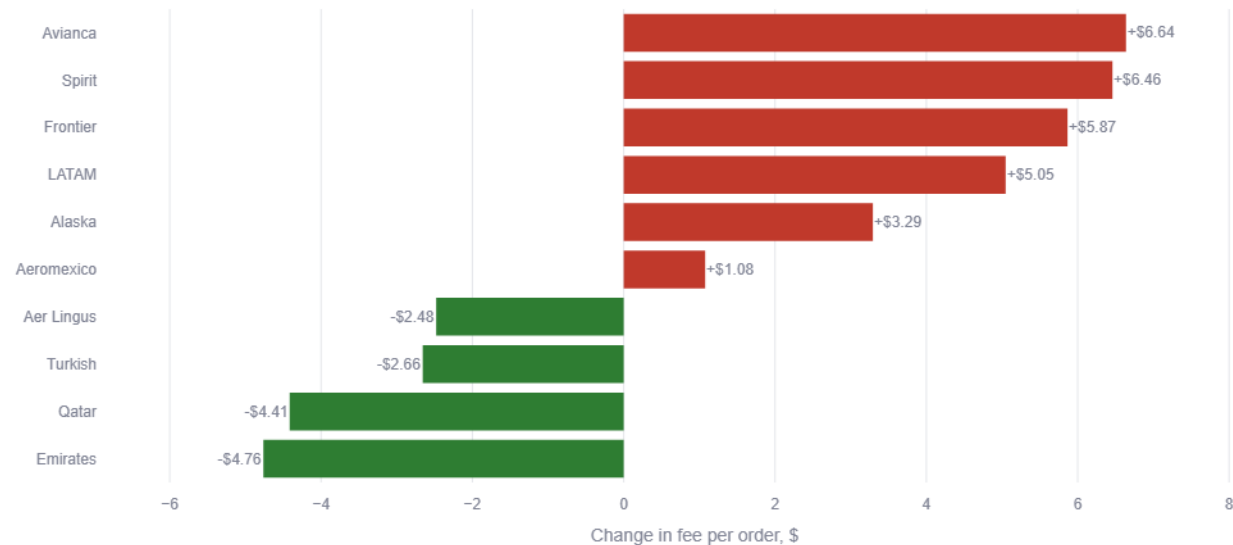
The extra cost was building all year until cheap fares left in October



Jan–Sep: with the full cheap-fare volume on board, the new scheme would have cost an extra \$6k–\$20k every single month (+\$133k in total). **Oct–Dec:** roughly flat — not because the fee got kinder, but because the fares it punishes had fled. These are counterfactuals on identical orders: a clean apples-to-apples view for the renegotiation case.

The same change punishes budget airlines and rewards long-haul ones

Average change in fee per order, by airline (red = pays more, green = pays less)



4.0% → 17.5%

effective fee on a sub-\$100 ticket — a third of Aeroprize volume

+\$6.41 / −\$4.79

average fee change per order: cheap fares vs expensive fares

Losers: one-way, domestic, low-cost and short-haul carriers. **Winners:** long-haul international returns on legacy and Gulf carriers.

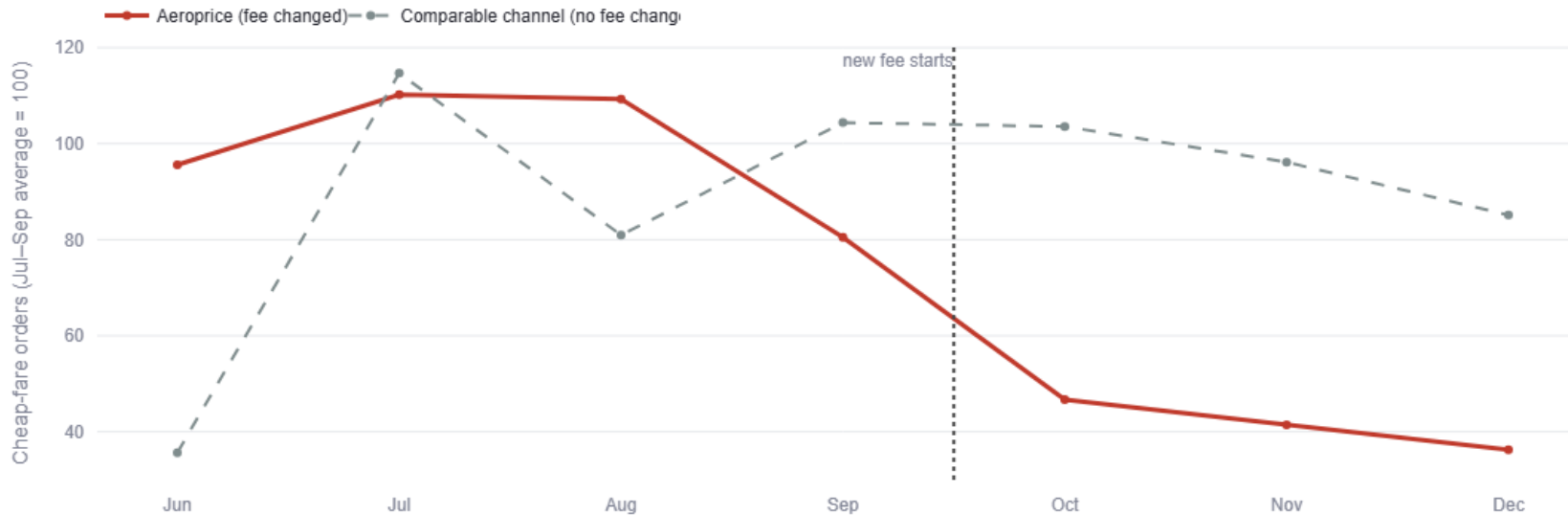
The three price bands at a glance ↔

	Orders	Share of channel	Avg fee change / order	Total fee change	Avg margin / order
Pays more	34,554	58.5%	+\$6.41	+\$221,321	-\$0.67
About even	6,763	11.5%	-\$0.72	-\$4,873	+\$3.88
Pays less	17,702	30.0%	-\$4.79	-\$84,751	+\$23.18

The cheap band is 3 in 5 orders and already runs at about break-even, so the extra fee turns it loss-making. The expensive band, where we save, is under a third of orders.

Cheap fares didn't move channels — they disappeared

Cheap-fare orders collapsed in Aeroprize but held steady where the fee didn't change



Both lines indexed to their July–September average (=100), so the drop is comparable, not the raw sizes.

Total cheap-fare demand across all our channels fell from ~5,600 to ~3,100 orders a month — **most of the displaced demand likely went to competitors**. Aeroprize's share of all cheap fares fell from 72.6% to 51.1%. The typical Aeroprize ticket jumped from ~\$130 to over \$400 (appendix).

–58.5%

Aeroprize cheap-fare volume, summer avg → Q4

–5.1%

the same measure on a channel with no fee change

≈ 2,200 / mo

cheap-fare orders that vanished and were not recaptured anywhere

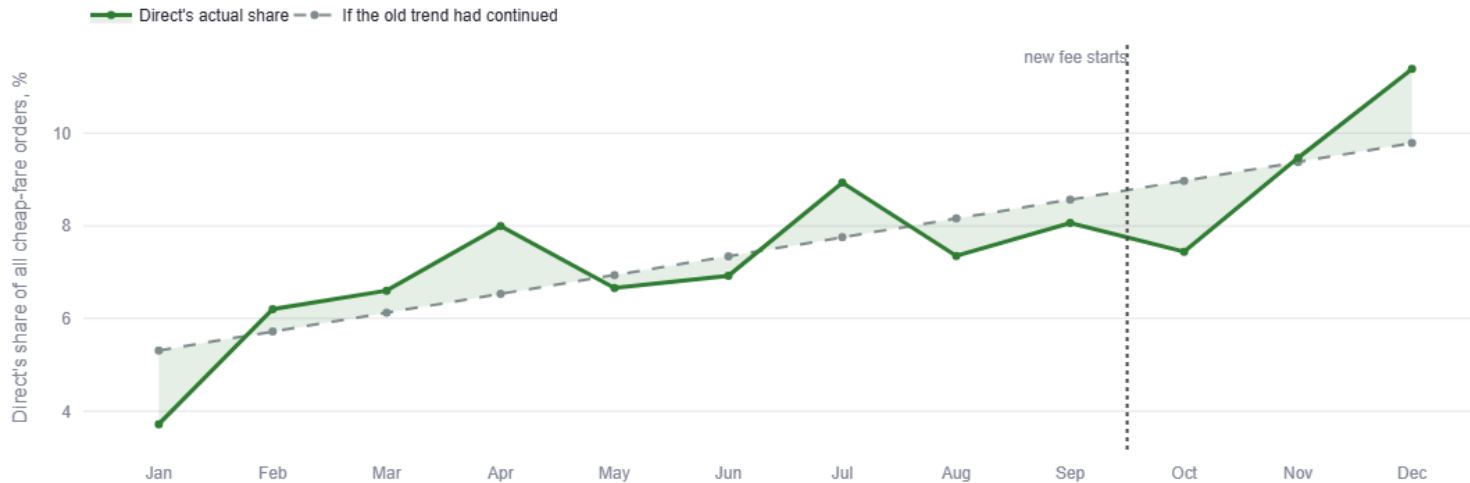
Revise pricing by segment — the fee floor is a channel-fit problem, not a markup problem

Segment	Action	Pro	Con
Cheap fares <\$262.50 59% of orders	Stop full-price competition: partial pass-through of the fee; de-prioritise deep-discount inventory in this channel.	Stops guaranteed losses — the \$10.50 fee alone exceeds the segment's −\$0.67 average margin.	Volume and search-ranking loss (already visible in Q4); weaker 'billboard' visibility from cheap fares.
Expensive fares >\$500 30% of orders	Reinvest the ~\$4.79/order saving into sharper prices to win ranking on long-haul fares.	Healthy-margin segment (+\$23.18/order); price-sorted platforms reward small cuts disproportionately.	Competitors on the same new terms may match, competing the saving away.
Structural the contract itself	Renegotiate a fare-tiered fee; route budget inventory to channels without a minimum fee.	Fixes the root cause ; the +\$131,696 full-year counterfactual is the negotiation lever.	Partner may resist ; re-routing volume takes time and coordination.

Principle: the fee changed asymmetrically, so the optimal markup changes asymmetrically — one uniform response would be wrong in both directions.

Our own Direct site is now the cheapest place to sell a budget fare

Since the fee change, Direct is winning a bigger slice of budget fares than its trend predicted



Direct pays no partner fee — so the effect is behavioural: by December, Direct's share of cheap fares reached 11.4%, +1.6 pp above its own pre-change trend. Real, but small and late: Direct is not yet catching the falling demand. It should be.

What winning those fares back on Direct is worth

Cheap-fare orders per month won back via Direct



\$63,000 per year in avoided channel fees

500 orders/month × 12 months × \$10.50 average partner fee on a cheap fare. That fee is money we keep when the sale happens on our own site instead.

How to capture it

Make Direct the designated home for budget fares: member-only and app-exclusive pricing funded by the avoided fee, and retargeting of metasearch visitors. **Every order shifted saves at least \$10.50 before any margin.**

Four actions — each with a number attached

1

Stop competing on sub-\$262 fares inside Aeroprize

They lose money there by construction: +\$6.41 average extra fee on a segment averaging −\$0.67 margin per order.

2

Reinvest the cap saving into long-haul prices

~\$4.79 saved per expensive order funds sharper prices exactly where margin is healthy (+\$23.18/order) and ranking is won.

3

Make Direct the home for budget fares

Each order won back avoids $\geq \$10.50$ in fees — 500 orders/month is worth \$63,000 a year before any margin.

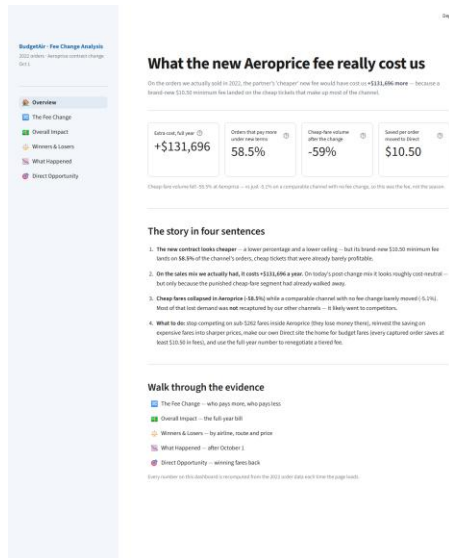
4

Renegotiate a fare-tiered fee

Armed with the counterfactual: on 2022's real orders, the new terms cost +\$131,696 — 59% of what the channel earned before the change.

This analysis ships as a product: a dashboard, an AI interface, and a QA'd pipeline

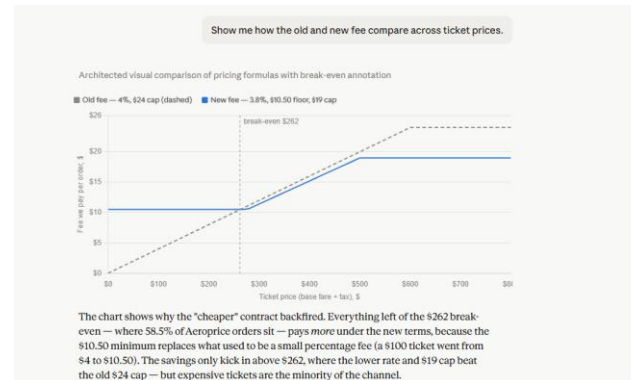
Interactive dashboard



Six pages mirroring this deck; every number recomputed from the data on load.

Deployed · automated browser QA 47/47

Ask the data in plain English (MCP)



Nine curated tools answer stakeholder questions with charts — the AI narrates, our code computes, so numbers can't be invented.

Deployed on Cloud Run · eval 11/12, 0 fabrications · 12/12 manual sign-off

Productionising it

Today. one pipeline feeds slides, dashboard and AI — a single source of truth with a startup consistency gate.

Next. interactive in-chat views (MCP Apps): our charts, click-to-drill into any segment.

At scale. same pattern on the live warehouse: curated, governed tools for self-serve pricing analytics.

Appendix · Fee applied per passenger instead of per order: the impact would be larger

+\$131,696

base case — percentage, minimum and maximum applied per ORDER (matches the contract wording)

+\$231,170

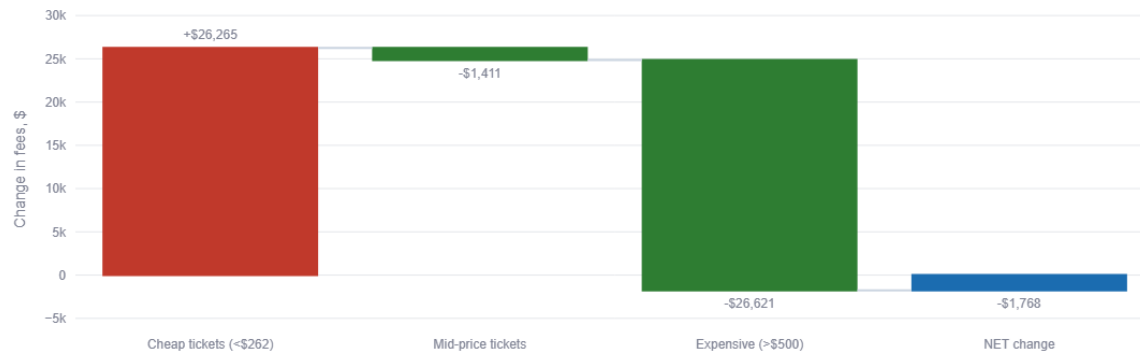
sensitivity — the same rules applied per PASSENGER

Why it grows: splitting an order across passengers lowers each ticket's value, pushing more of them under the \$10.50 minimum — the floor then binds several times per order instead of once.

Why this matters: our per-order base case is the conservative reading of the contract. If the fee is in fact charged per passenger, every headline in this deck understates the damage.

Appendix · Supporting views

Cheap tickets drive the whole bill — -\$1,768 (after the change only)



Oct–Dec only: the same waterfall is roughly flat once the cheap fares have gone.

Average change in fee per order, by ticket price zone (red = pays more, green = pays less)



The three price bands: +\$6.41 / −\$0.72 / −\$4.79 average fee change per order.

Cheap tickets left the channel: the typical Aeroprize ticket jumped after October



The typical (median) Aeroprize ticket jumped from ~\$130 to \$400+ after 1 Oct — cheap tickets left the channel.

Reading these together: the after-change waterfall (top left) is what the contract looks like if you only inspect Q4 — the zone view (top right) and the median-ticket jump (bottom left) show why: the paying segment exited, flattering the average.

Appendix · Reproducibility & quality controls

Deliverable	What it is	Quality control
orders_compiled_enriched.csv	order-level fact table: all 120,396 orders with cleaning flags, both fee schemes, zones	every fee verifiable per order
impact_summary.csv	month × channel × price-zone rollup behind every chart	reconciles to the fact table
analysis.py	one script rebuilds both CSVs from the 12 raw files	prints a validation block of headline numbers on every run
Streamlit dashboard (live)	six pages, every number recomputed from the CSVs on load	automated browser QA: 47/47 checks against the deployed app
MCP server (live, Cloud Run)	nine curated tools; AI narrates, code computes	refuses to start on data drift · golden eval 11/12, 0 fabricated numbers · 12/12 manual sign-off

One source of truth: slides, dashboard and AI interface all read the same two CSVs produced by the same script — every number in this deck exists identically in all three.